

Commission mandates that every mutual fund advertisement clearly state that *past performance is not an indication of future results*.

AVOIDING BAD ADVICE

You will undoubtedly come across financial advisors, newsletter writers, Web site bloggers, and other sources that infer that they have investment skill. This is not possible. Every advisor who claims to have skill cannot be above average. In aggregate, these advisors *are* the market, and after advisor fees, fund expenses, and trading costs, advisors' clients must perform below the market. It can be no other way.

During 1998 congressional testimony concerning the economic crisis caused by the collapse of Long Term Capital Management, Federal Reserve Chairman Alan Greenspan cautioned against buying into any new concept designed to outperform the markets. The following statement was given before the Committee on Banking and Financial Services of the U.S. House of Representatives:

This decade is strewn with examples of bright people who thought they had built a better mousetrap that could consistently extract an abnormal return from financial markets. Some succeed for a time. But while there may occasionally be mis-configurations among market prices that allow abnormal returns, they do not persist.

Indeed, efforts to take advantage of such misalignments force prices into better alignment and are soon emulated by competitors, further narrowing, or eliminating, any gaps. No matter how skillful the trading scheme, over the long haul, abnormal returns are sustained only through abnormal exposure to risk.^{[1](#)}

Greenspan's last line is worth repeating, "No matter how skillful the trading scheme, over the long haul, abnormal returns are sustained only through abnormal exposure to risk." Superior investment performance requires increased exposure to risk. This means that advisors, bloggers, hedge fund managers, and bank trust officers can't make up their costs and beat the market without exposing a portfolio to considerable risk.

Even Warren Buffett took great risk early in his career by making large bets on a few investments that worked out. If he did not place big bets on a